Type MS · Financial and non-financial methods of motivation

Answer 1 of 31 · Question 1 part f · 3 marks

2025 JUN · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Current liability** **A –** Current asset - this is not correct because it is something a business owns that can be converted to cash within 12 months **C** – Non-current asset - this is not correct because it is something owned by a business for longer than 12 months **D** – Non-current liability - this is not correct because it is a debt to be paid back longer than 12 months	**(1)**

Question Number	Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A – Skimming** **B** – Competition - this is not correct because it is when a business considers its competitors price before setting theirs **C** – Penetration - this is not correct because it is when a business charges a low price to begin with before setting its own price **D** – Cost plus - this is not correct because it is adding a percentage to the cost of making the product	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 1 of 31 · Question 1 part f · 3 marks

2025 JUN · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Which **one** of the following is a role of the human resources department? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Recruiting employees** **A** – Reducing costs - this is not correct because it is the role of finance **B** – Designing products- this is not correct because it is the role of production **C** – Customer Service - this is not correct because it is the role of marketing	**(1)**

Question Number	Which **one** of the following is a benefit to a shareholder of having limited liability? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C – Own possessions are not at risk** **A –** Choosing who buys shares - this is not correct because this is a benefit of owning a private limited company **B –** May build a better relationship with suppliers - this is not correct because it is a benefit of loyalty to a supplier **D –** Employee motivation will increase - this is not correct because it is a benefit of a good relationship with employees	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 1 of 31 · Question 1 part f · 3 marks

2025 JUN · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Which **one** of the following is the break-even level of output? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is B - 350** **A** – 280 - this is not correct because it is the fixed costs **C** – 420 - this is not correct because it is the fixed costs multiplied by revenue **D** – 616 - this is not correct because it is the revenue added to variable cost per unit then multiplied by fixed costs	**(1)**

Question Number	Which **one** of the following statements from **Figure 2** correctly applies to the gym equipment business? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – it made a profit of €43 765** **A** – It made a loss of €88 400 - this is not correct because it is the total costs **B** – It made a loss of €61 165 - this is not correct because it is (€54 000 + €17 000) – €132 165 **D** – It made a profit of €78 165 - this is not correct because it is €132 165 - €54 000	**(1)**

Question Number	Define the term **trade bloc.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **trade bloc**. • A group of countries that work together to benefit from trade free of barriers **(1)**	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 1 of 31 · Question 1 part f · 3 marks

2025 JUN · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	Define the term **job production.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **job production**. • The one-off production of a customised product to meet a customers' specific needs **(1)**	**(1)**

Question Number	State **one** reason why *Four Fitness* would pay its employees more than the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a reason *Four Fitness* would pay its employees higher than minimum wage. • Its gym instructors are highly qualified and skilled **(1)** **NB** Do not accept a reason that is not in the context of *Four Fitness*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate the total price if five *Four Fitness* members attend the event. You are advised to show your working. **Answer**	**Additional guidance**	Mark
1 (e)	**AO2 - 2 marks** 175 – 12.25 = 162.75 **(2)** 35 x 5 = 175 **(1)** 175 x 0.07 = 12.25 **(1)**	Award full marks for correct numerical answer without working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Financial and non-financial methods of motivation

Answer 1 of 31 · Question 1 part f · 3 marks

2025 JUN · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** impact to a business of providing fringe benefits to employees. **Answer**	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for an impact to a business of providing fringe benefits to employees, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Lower staff turnover **(1)** which reduces recruitment costs **(1)** as they will not need to find new employees **(1)** **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Analyse the effectiveness of the wide span of control used by Gianni Polvani. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Gianni will be able to empower his employees directly within the gym as there are no layers between him and them • 14 employees may be too many for Gianni to manage himself especially as he has two gyms to run **AO3** • Employees will be more motivated as decisions will be made quicker and this will encourage them to take ownership of their own work resulting in them bringing in new ideas to the gym • He may not be able to spread his time evenly between all the workers which could lead to lower productivity levels because of this reduced supervision	**(6)**

Type MS · Financial and non-financial methods of motivation

Answer 1 of 31 · Question 1 part f · 3 marks

2025 JUN · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	State **one** factor *Four Fitness* may consider when choosing a location for its new gym. **Answer**	Mark

Type MS · Financial and non-financial methods of motivation

Answer 2 of 31 · Question 2 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for any valid method of motivation in the context of the business. • Job rotation between L.cafe, L.bistro and L.table **(1).** • Job enrichment to give more complex tasks other than just serving customers **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**AO2 - 1 mark** Award 1 mark for any valid responsibility of the finance function in the context of the business. Calculate and pay the wages/salaries of the staff in *L.table* **(1).** Pay suppliers of baking ingredients on time **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (c)	**AO1 - 3 marks** Award 1 mark for identification of a way a business can use penetration pricing, plus 2 further marks for explaining this way, for a maximum of 3 marks. • A business can offer a low price for a new product **(1).** This will entice customers to try the new product in its introduction stage **(1)** and stop them from buying from the competitors **(1).** Answers that list three ways with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 2 of 31 · Question 2 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
2 (d)	**AO1 - 3 marks** Award 1 mark for identification of a reason why a business would have a short span of control, plus 2 further marks for explaining this reason, for a for a maximum of 3 marks. • This will allow the business to have better communication with its employees **(1)** as messages have less levels to go through **(1)** leading to a more productive workforce **(1).** Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (e)	**AO1 - 3 marks** Award 1 mark for identification of a reason why diseconomies of scale may occur, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • The business gets too big **(1)** employees can become demotivated **(1),** which could result in falling productivity levels **(1).** Answers that list more than one reason with no explanation will get a maximum of one mark. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 2 of 31 · Question 2 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • Option 1 – Each outlet could match the needs of the local customers. • Option 2 – *Lavender* could use Flow Production to make all its cakes the same for all outlets. **AO3** • Options 1 – The needs of the customers from that area will be met and sales will increase. • Option 2 – Lavender could produce more cakes in less time, thus ensuring supplies to all its outlets. **AO4** • Option 1 – However, there will not be consistencies across all outlets and that will make the movement of employees difficult. • Option 2 – However, flow production is very difficult to change and cannot take in to account regional tastes and if the cakes do not sell then there is a potential for the business to make a loss.	**(9)**

Type MS · Financial and non-financial methods of motivation

Answer 2 of 31 · Question 2 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Financial and non-financial methods of motivation

Answer 2 of 31 · Question 2 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Type MS · Financial and non-financial methods of motivation

Answer 2 of 31 · Question 2 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark

Type MS · Financial and non-financial methods of motivation

Answer 3 of 31 · Question 2 part a · 1 mark

2019 JUN · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for any valid piece of information in the context of the business. • Discount off any shoes for friends and family **(1).** • Allow employees to gain a qualification in customer service **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**AO2 - 1 mark** Award 1 mark for any valid piece of information in the context of the business. • Gain more knowledge about shoes/accessories **(1).** • Receive training at a college on selling men and children's shoes **(1).** **Accept any other appropriate response.**	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 3 of 31 · Question 2 part a · 1 mark

2019 JUN · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**AO1 - 3 marks** Award 1 mark for identification of a reason for having a human resource functional area, plus 2 further marks for explaining this reason for a business, for a maximum of 3 marks. • A reason is to recruit employees **(1).** It will identify a vacancy in the business and seek to fill it **(1)** having found the right person for that role **(1).** Answers that list more than one reason with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (d)	**AO1 - 3 marks** Award 1 mark for identification of method, plus 2 further marks for explaining this method, for a maximum of 3 marks. • A business could use television advertising **(1).** This can be seen by large numbers of people raising awareness **(1)** resulting in an increase in sales for a business **(1).** Answers that list more than one method with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 3 of 31 · Question 2 part a · 1 mark

2019 JUN · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of one way the product life cycle can be extended, plus 2 further marks for explaining the way, for a maximum of 3 marks. • A business could change the packaging of its product **(1),** this could be done by brightening up old packaging or adding extras to the packaging **(1).** This could result in more repeat purchase as well as new custom **(1).** Answers that list more than one way with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 3 of 31 · Question 2 part a · 1 mark

2019 JUN · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 –*Backyard Shoez* could give bonuses for the person who has achieved the highest shoes sales within a month. • Option 2 – *Backyard Shoez* could use job enrichment to give their employees greater responsibilities within the shoe shop. **AO3** • Options 1 – The employees may be encouraged to work harder and compete against each other to gain the highest shoe sales for the bonus. • Option 2 – This will motivate employees as they can see they are being given the opportunity to use their abilities within the shoe shop as they are trusted by *Backyard Shoez.* **AO4** • Option 1 – However, if an employee cannot continually achieve the highest shoes sales then they may become demotivated and this could have the opposite effect. • Option 2 – However, some employees may resent not being chosen for job enrichment as therefore may become demotivated.	**(9)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Financial and non-financial methods of motivation

Answer 3 of 31 · Question 2 part a · 1 mark

2019 JUN · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Financial and non-financial methods of motivation

Answer 3 of 31 · Question 2 part a · 1 mark

2019 JUN · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark

Type MS · Financial and non-financial methods of motivation

Answer 4 of 31 · Question 1 part a.iii · 1 mark

2020 NOV · Paper 01 (regional R) · extract 1 of 6 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is D – Personal satisfaction** A is not correct because it is a financial business objective B is not correct because it is a financial business objective C is not correct because it is a financial business objective	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 = 1 mark** **The only correct answer is A - Rising star** B is not correct because it is a process carried out for health and safety at work C is not correct because it is in relation to branding D is not correct because it is part of the product life cycle	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 = 1 mark** **The only correct answer is B - Bonus** A is not correct because it is a financial method of motivation that is not added to a basic wage C is not correct because it is a non-financial method of motivation that is not added to a basic wage D is not correct because it is a method of payment where workers get paid for each item produced	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 4 of 31 · Question 1 part a.iii · 1 mark

2020 NOV · Paper 01 (regional R) · extract 2 of 6 · find part a.iii in this mark scheme extract

Question Number	Answer	Mark
1 (a) (iv)	**AO1 = 1 mark** **The only correct answer is A - Growth** B is not correct because this is phase 4 on figure 1 C is not correct because this is phase 1 on figure 1 D is not correct because this is phase 3 on figure 1	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 = 1 mark** **The only correct answer is B - 150%** A is not correct because this is profit per item C is not correct because this is selling price per course + cost per item D is not correct because this is selling price per course/ cost per item x100	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 = 1 mark** **The only correct answer is D - 9 675.90 JPY** A is not correct because this is the cost of the course B is not correct because this is the exchange rate of the JPY C is not correct because this is the cost of the course multiplied by 148	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 4 of 31 · Question 1 part a.iii · 1 mark

2020 NOV · Paper 01 (regional R) · extract 3 of 6 · find part a.iii in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of capital intensive production. • Production methods that make more use of machinery than labour (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of quantitative data. • Data that is expressed as number (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a reason why Tom Baker operates his business as a social enterprise. • He could use his profits to help his local community (1). **Accept any other appropriate response.**	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 4 of 31 · Question 1 part a.iii · 1 mark

2020 NOV · Paper 01 (regional R) · extract 4 of 6 · find part a.iii in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 23 546 x 0.03 = 706.38 (1) 23 546 + 706.38 = 24 252.38 (1) **OR** 23 546 x 103 (1) = 24 252.38 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a method of increasing profit, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Profits could be increased by cutting costs (1). A small business could cut the number of workers it has or reduce their hours (1) so if the revenue stays the same this will increase the profit (1). **NB** Answers that list three methods with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 4 of 31 · Question 1 part a.iii · 1 mark

2020 NOV · Paper 01 (regional R) · extract 5 of 6 · find part a.iii in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • There is more interest in businesses becoming 'green' and *Loaf* provides somewhere for the community to recycle. • *Loaf* operates the 'Waste Not' scheme by giving away waste instead of disposing of it to reduce the amount the business disposes of. **AO3** • If the business is able to recycle packaging then it can cut costs leading to more profit to be contributed back to the local community, customers will be happy about this as they can physically see their local area being helped. • This is important for *Loaf* as customers will be able to see that the business is helping charities, meeting its social objectives and reducing any waste that it produces as a business.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Financial and non-financial methods of motivation

Answer 4 of 31 · Question 1 part a.iii · 1 mark

2020 NOV · Paper 01 (regional R) · extract 6 of 6 · find part a.iii in this mark scheme extract

Question Number	Answer	Mark

Type MS · Financial and non-financial methods of motivation

Answer 5 of 31 · Question 1 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is D - Manufacture of finished goods** A is not correct because production does not provide services B is not correct because production is not the exchange of goods C is not correct because extraction of raw materials is not production	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **The only correct answer is B - The person is given support from an established business** A is not correct because a franchise cannot buy supplies from anyone C is not correct because a franchise is not guaranteed a set wage D is not correct because the profits are not shared in a franchise	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 = 1 mark** **The only correct answer is D - 50.94%** A is not correct because 6.63% calculation incorrect B is not correct because 1 600 / 1 060 = 15.09 C is not correct because 1 600 – 1 060 = 0.52 / 1 600 = 33.75%	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 5 of 31 · Question 1 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark
1 (a)(iv)	**AO1 = 1 mark** **The only correct answer is A - Higher loan repayments** B is not correct because a bank increasing the interest rates does not affect labour costs C is not correct because a bank increasing interest rates would possibly reduce net cash flow D is not correct because a bank increasing interest rates would possibly reduce sales	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **The only correct answer is B - It is funded by government** A is not correct because a public corporation is not owned by the directors C is not correct because a public corporation does not aim to maximise profit D is not correct because a public corporation is accountable to the public	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **The only correct answer is C - £980 000** A is not correct because - £40 000 is cash inflow minus outflow B is not correct because £40 000 is outflow minus inflow D is not correct because opening balance £1020 000 plus outflow £400000 minus inflow £360 000	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 5 of 31 · Question 1 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of commission. • Payment made to an employee linked to the number of sales made (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of revenue. • Money from the sale of goods/services (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a valid reason for having a short span of control in the context of the business. • This allows the directors of *HRMW* to communicate with all manufacturing departments such as boxing gloves and hockey sticks (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 92 322 – 85 083 = 7 239 (1) 7 239/85 038 = 8.51% (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Financial and non-financial methods of motivation

Answer 5 of 31 · Question 1 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a reason for sponsoring an event, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Sponsorship is making a financial contribution to an event (1). This makes more people aware of the business's products (1). This could, in turn, increase sales of those products (1). Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • It differentiates its football products from those of its competitors. • It helps customers to recognise its own logo that appears on all its products. **AO3** • Advertising the footballs is easier because customers are aware of the brand name and the quality of products. • Customers are more likely to buy a *HRMW* hockey stick, rather than an unbranded product, when they see the logo.	**(6)**

Type MS · Financial and non-financial methods of motivation

Answer 5 of 31 · Question 1 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Financial and non-financial methods of motivation

Answer 5 of 31 · Question 1 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark

Type MS · Financial and non-financial methods of motivation

Answer 6 of 31 · Question 2 part a · 1 mark

2020 NOV · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

2 (a)	**A02 = 1 mark** Award 1 mark for a valid non-financial method of motivating staff in the context of the business. • Discount on flights (1). • Discounts on car hire (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**A02 = 1 mark** Award 1 mark for a valid reason of having a loyalty programme in the context of the business. • Encourages customers to fly again with *Emirates* (1). • Loyalty to *Emirates* airline rather than competing airlines (1). **Accept any other appropriate response.**	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 6 of 31 · Question 2 part a · 1 mark

2020 NOV · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**A01 = 3 marks** Award 1 mark for the identification of a benefit of having full-time employees, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • The workforce remains stable (1). Employees are well prepared for the job they are employed for (1). Opportunities may arise for employees to gain promotion when someone leaves (1). Answers that list three benefits of full-time employees with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (d)	**A01 = 3 marks** Award 1 mark for a reason for using seasonal staff, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Seasonal staff are employed when there is increased demand (1) this could be during holiday periods (1) when the full-time employees cannot meet the demand (1). Answers that list three reasons with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 6 of 31 · Question 2 part a · 1 mark

2020 NOV · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**A01 = 3 marks** Award 1 mark for identification of a reason for undertaking health and safety training, plus 2 further marks for explaining why health and safety training is beneficial to a business, for a maximum of 3 marks. • Employees undertake this training, because it could be the law in that country (1). By undertaking the training, employees are aware of the hazards within their job (1) so they know how to protect themselves when using equipment (1). NB Answers that list three benefits with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 6 of 31 · Question 2 part a · 1 mark

2020 NOV · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – Questionnaires are easy for passengers to complete. • Option 2 – Focus groups allow passengers to give their opinions face-to-face. **AO3** • Option 1 – The questionnaire can be completed in as much detail as the passenger wants. • Option 2 –This means that passenger views on flights can be developed and investigated further if needed. **AO4** • Option 1 – However, often they are not filled in correctly and do not give the information about flights needed by *Emirates.* • Option 2 – However, a focus group can only be for a certain number of passengers and therefore might not give a true cross section of all classes of passengers.	**(9)**

Type MS · Financial and non-financial methods of motivation

Answer 6 of 31 · Question 2 part a · 1 mark

2020 NOV · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Financial and non-financial methods of motivation

Answer 6 of 31 · Question 2 part a · 1 mark

2020 NOV · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark

Type MS · Financial and non-financial methods of motivation

Answer 7 of 31 · Question 3 part a · 1 mark

2021 JUN · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

3 (a)	A01 - 1 mark Award 1 mark for a correct definition of remuneration. • Money paid for work or a service (1)	**(1)**

Question Number	Outline one reason why NOF would choose to use seasonal staff when harvesting its products Answer	Mark
3 (b)	A02 - 2 marks Award 1 mark for identifying a reason why NOF would choose to use seasonal staff, plus 1 further mark for linking it to the context of the question. • As a farm NOF will harvest different crops at different times (1) demand will then increase for seasonal workers at those times (1) NB Do not accept a reason that is not in the context of NOF. Accept any other appropriate response.	**(2)**

Type MS · Financial and non-financial methods of motivation

Answer 7 of 31 · Question 3 part a · 1 mark

2021 JUN · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
3 (c)	A02 - 2 marks 2.50 – 1.10 = 1.40 (1) 77÷1.40 = 55 (1) OR 77 ÷ 1.40 (1) = 55 (1)	Award 1 mark for correctly substituting numbers into formula. Award two marks for correct numerical answer without working.	**(2)**

Question Number	Analyse how useful break-even calculations can be for NOF when deciding whether to include ice cream in its product range Indicative content	Mark
3 (d)	AO2 = 3 marks AO3 = 3 marks AO2 • NOF can see that it will need to sell 55 ice creams each day to break even. • NOF can use this information to decide if it can sell 55 tubs a day, 365 days a year. AO3 • It will help NOF to see at what point it starts making a profit and can ask 'what if' questions to see what impact it has on the break-even point. • This might stop NOF from making ice creams as it may not be able to sell 55 tubs all year round.	**(6)**

Type MS · Financial and non-financial methods of motivation

Answer 7 of 31 · Question 3 part a · 1 mark

2021 JUN · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Financial and non-financial methods of motivation

Answer 7 of 31 · Question 3 part a · 1 mark

2021 JUN · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	To do this NOF is considering two options: Option 1: handing out questionnaires at local retailers Option 2: using the internet to research other farms. Justify which one of these two options NOF should choose. Indicative content	Mark
3 (e)	AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks AO2 • Option 1 – Questionnaires will let NOF approach potential customers face to face to see what will attract them to visit the farm. • Option 2 – NOF can view a large selection of websites to look at other farms and gather information. AO3 • Option 1 – NOF can ask specific questions which will give it detailed feedback that it can use to help attract more customers to its farm. • Option 2 – It will be less time consuming/costly as it can see what other farms offer already and compare it to its own to see if it can improve based on this information. AO4 • Option 1 – However, NOF may not get all of the information it requires or people may not want to fill in the questionnaires whilst they are shopping so it might not be very helpful/limited feedback. • Option 2 – However, NOF may end up spending a lot of time looking at feedback or outdated information which will not be very useful for it and it is not gaining specific feedback on its own farm.	**(9)**

Type MS · Financial and non-financial methods of motivation

Answer 7 of 31 · Question 3 part a · 1 mark

2021 JUN · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7– 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Financial and non-financial methods of motivation

Answer 7 of 31 · Question 3 part a · 1 mark

2021 JUN · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Question Number	Answer	Mark
1 (a) (i)	**AO1 - 1 mark** **D** Human Resources	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **B** Selling assets	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **C** Cost of sales	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **A** Taxation	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C** 250%	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 - 1 mark** **D** S$42.08	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • An increase in average cost per units **(1)**.	**(1)**

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Type MS · Financial and non-financial methods of motivation

Answer 8 of 31 · Question 1 part d · 1 mark

2021 NOV · Paper 01 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of job production. • A method of production that involves completing one unit of output at a time **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a financial method of motivation *Artify Studio* could use to motivate its employee in the context of the business. • Employees could be given commission for any art materials they sell **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 285 x 0.12 = 34.20 **(1)** 285 – 34.20 = 250.80 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Type MS · Financial and non-financial methods of motivation

Answer 8 of 31 · Question 1 part d · 1 mark

2021 NOV · Paper 01 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a measure of success, plus 2 further marks for explaining this measure, for a maximum of 3 marks. • Market share can be used to measure the success of a business **(1).** Changes in market share will show how well or not the business is doing **(1)** and help them to make decisions for the business **(1).** **NB** Answers that list three measures of success with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Lower interest rates could lead to an increase in the demand for the popular Liberty Art Jam sessions. • The cost of borrowing comes down so *Artify Studio* could pay less on any loans they take out. **AO3** • *Artify Studio* may need to put on additional sessions to cater for the increase in demand, this will lead to an increase in costs but as sales increase this can cover this cost. • This will enable *Artify Studio* to have more funds available to increase advertising and bring in more customers.	**(6)**

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Type MS · Financial and non-financial methods of motivation

Answer 8 of 31 · Question 1 part d · 1 mark

2021 NOV · Paper 01 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Type MS · Financial and non-financial methods of motivation

Answer 8 of 31 · Question 1 part d · 1 mark

2021 NOV · Paper 01 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark

Type MS · Financial and non-financial methods of motivation

Answer 9 of 31 · Question 2 part a · 1 mark

2023 JUN · Paper 01 (regional R) · extract 1 of 7 · find part a in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid fringe benefit *Aude Rose* could offer its employees in the context of the business. • It could offer its employees training for a qualification as a florist **(1)** **NB** Do not accept a fringe benefit that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(1)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Financial and non-financial methods of motivation

Answer 9 of 31 · Question 2 part a · 1 mark

2023 JUN · Paper 01 (regional R) · extract 2 of 7 · find part a in this mark scheme extract

Question Number	State **one** reason why branding is important to *Aude Rose*. **Answer**	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why branding is important to *Aude Rose* in the context of the business. • It makes the business stand out against other flower shops in Paris **(1)** **NB** Do not accept a reason that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(1)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Financial and non-financial methods of motivation

Answer 9 of 31 · Question 2 part a · 1 mark

2023 JUN · Paper 01 (regional R) · extract 3 of 7 · find part a in this mark scheme extract

Question Number	Explain **one** impact of ineffective communication on a business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of an impact of ineffective communication on a business, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • More mistakes could be made **(1)** as employees will not know what they are doing **(1)** leading to low customer satisfaction **(1)** **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** advantage of a partnership. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of an advantage of a partnership, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • Different partners may have different skills **(1)** and be able to offer a wider range of services **(1)** which could lead to increased business **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Financial and non-financial methods of motivation

Answer 9 of 31 · Question 2 part a · 1 mark

2023 JUN · Paper 01 (regional R) · extract 4 of 7 · find part a in this mark scheme extract

Question Number	Explain **one** disadvantage to a business of product orientation. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a disadvantage to a business of product orientation, plus 2 further marks for explaining that disadvantage, for a maximum of 3 marks. • Product may not suit the needs of the customer **(1)** so potential customers may go elsewhere **(1)** resulting in the business losing sales **(1)** **NB** Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Financial and non-financial methods of motivation

Answer 9 of 31 · Question 2 part a · 1 mark

2023 JUN · Paper 01 (regional R) · extract 5 of 7 · find part a in this mark scheme extract

Question Number	*Aude Rose* is considering two options. **Option 1**: sponsor a local event such as a flower show **Option 2**: advertise, using leaflets around Paris. Justify which **one** of these two options *Aude Rose* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – The event will increase the awareness of her flower shop • **Option 2** – Leaflets can be handed out to passing tourists to draw them to the flower shop **AO3** • **Option 1** – If the flower show is a success, potential customers will have a positive opinion of *Aude Rose* • **Option 2** – The leaflet can include more information such as shop opening hours and the range of flowers being sold **AO4** • **Option 1** – However, these events can be expensive to sponsor so whilst sales may increase there is no guarantee profits will increase • **Option 2** – However, this would mean that someone would have to take time out of the shop to hand out the leaflets or increase costs by paying someone to hand them out	**(9)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Financial and non-financial methods of motivation

Answer 9 of 31 · Question 2 part a · 1 mark

2023 JUN · Paper 01 (regional R) · extract 6 of 7 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Financial and non-financial methods of motivation

Answer 9 of 31 · Question 2 part a · 1 mark

2023 JUN · Paper 01 (regional R) · extract 7 of 7 · find part a in this mark scheme extract

Question Number	Define the term **variable costs.** Answer	Mark

Type MS · Financial and non-financial methods of motivation

Answer 10 of 31 · Question 3 part a · 1 mark

2023 JUN · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

Number	Answer	
3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **fringe benefits**. • Additional benefits over and above the normal wage or salary **(1)**	**(1)**

Question Number	Outline **one** way *Irsi Chocolatier* could keep customer loyalty. **Answer**	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a way *Irsi Chocolatier* could keep customer loyalty, plus 1 further mark for linking it to the context of the business. • *Irsi Chocolatier* could promote their chocolates **(1)** by introducing a new range of flavours **(1)** **NB** Do not accept a way that is not in the context of *Irsi Chocolatier*. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate, to two decimal places, the current ratio. **Answer**	**Additional guidance**	Mark
3 (c)	**A02 - 2 marks** 26 000/14 852 **(1)** = 1.75 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Financial and non-financial methods of motivation

Answer 10 of 31 · Question 3 part a · 1 mark

2023 JUN · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Analyse the limitations for *Irsi Chocolatier* of using break-even charts to decide whether it should sell the new product. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Break-even charts make the assumption that all of the new chocolate lollipops will be sold • The chart shows the costs for the chocolate lollipops as a straight line not taking into account other costs that may occur along the way **AO3** • This could lead to false data as it does not take into account any wasted or damaged stock not sold • This could lead to overspending if *Irsi Chocolatier* have not taken into account other costs or if customers do not like the new product	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Financial and non-financial methods of motivation

Answer 10 of 31 · Question 3 part a · 1 mark

2023 JUN · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	*Irsi Chocolatier* is considering two options: **Option 1:** train the new employee on-the-job **Option 2:** train the new employee off-the-job. Justify which **one** of these two options *Irsi Chocolatier* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – Offering on-the-job training allows the new employee to see current chocolate making techniques • **Option 2** – Offering off-the-job training allows the new employee to learn new techniques of producing chocolates from lecturers at a college **AO3** • **Option 1** – This may increase the levels of production as the employee will be producing whilst training allowing *Irsi Chocolatier* to meet the increased demand • **Option 2** – Therefore the new employee could bring new ideas into the business making it more efficient producing more in less time **AO4** • **Option 1** – However, as *Irsi Chocolatier* only has 3 employees there may not be someone who can dedicate the time to train the new employee to the standard required • **Option 2** – However, this can be costly as the employee will have to attend an external course rather than learn on the job	**(9)**

Level	Mark	Descriptor

Type MS · Financial and non-financial methods of motivation

Answer 10 of 31 · Question 3 part a · 1 mark

2023 JUN · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Financial and non-financial methods of motivation

Answer 10 of 31 · Question 3 part a · 1 mark

2023 JUN · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Calculate, to two decimal places, the operating profit margin. **Answer**	**Additional guidance**	**Mark**

Type MS · Financial and non-financial methods of motivation

Answer 11 of 31 · Question 3 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **autonomy.** • Giving workers the authority to make choices and decisions about the way they work **(1)**	**(1)**

Question Number	Outline **one** reason why *M&M* might locate a new factory near to a labour force. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *M&M* might locate its factories near to a labour force, plus 1 further mark for linking it to the context. • To have access to a wide pool of labour when the car plant opens **(1)** that pool to include production line workers and skilled technicians **(1)** **NB** Do not accept a reason that is not in the context of *M&M.* **Accept any other appropriate response.**	**(2)**

Type MS · Financial and non-financial methods of motivation

Answer 11 of 31 · Question 3 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Calculate to 2 decimal places the current ratio for 2020. **Answer**	**Additional guidance**	**Mark**
3 (c)	**AO2 - 2 marks** 3 400/900 **(1)** = 3.78 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse why *M&M* would want to compare its business with other vehicle manufacturers. **Indicative content**	**Mark**
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *M&M* can compare its sales of cars with other businesses such as the Ford Motor Company • If Fiat introduce different models of tractors *M&M* may consider changing the design of their own tractors **AO3** • If *M&M*'s figures are not as good as Ford Motor Company, they may try to improve sales by offering discounts or other incentives to customers • There is no guarantee that if *M&M* introduces a new tractor that it will compete with Fiat's tractors	**(6)**

Type MS · Financial and non-financial methods of motivation

Answer 11 of 31 · Question 3 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Financial and non-financial methods of motivation

Answer 11 of 31 · Question 3 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	**Option 1:** job rotation **Option 2:** bonus **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By giving employees the opportunity to move to different jobs on or off the production line from manufacturing vehicle parts to help designing vehicle parts keeps them involved in all aspects of production • **Option 2** – A bonus payment if car manufacturing targets are met makes employees feel valued and they would want to continue working for *M&M* in the car road-testing section **AO3** • **Option 1** – Employees are more likely to remain with *M&M* than look for another job, as they are continually gaining new experiences and skills • **Option 2** – A bonus encourages employees to work harder to ensure they gain their bonus **AO4** • **Option 1** – However, employees may not be interested in job rotation as it may not increase their wages • **Option 2** – However, employees may not be interested in bonus payments if their bonus is based on everyone who works in the factory, as some employees may not work as hard as others	**(9)**

Type MS · Financial and non-financial methods of motivation

Answer 11 of 31 · Question 3 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Financial and non-financial methods of motivation

Answer 11 of 31 · Question 3 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Calculate, to 2 decimal places, the cost of the tractor in pounds sterling (GBP). **Answer**	Additional guidance	Mark

Type MS · Financial and non-financial methods of motivation

Answer 12 of 31 · Question 2 part a · 1 mark

2023 NOV · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for the identification of a valid method *AWG* could use to motivate its employees • The business could use job rotation so employees make not only jumpers but shirts as well **(1)** **NB** Do not accept a method that is not in the context of *AWG* **Accept any appropriate response.**	**(1)**

Question Number	State **one** task of an *AWG* employee working in the human resources department. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for the identification of a valid task of an *AWG* employee working in the human resources department • *The AWG* employee working in the human resources department may be responsible for arranging the training of new employees to use the sewing machines **(1)** **NB** Do not accept a task that is not in the context of *AWG* **Accept any appropriate response.**	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 12 of 31 · Question 2 part a · 1 mark

2023 NOV · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** benefit of globalisation to a small business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a benefit of globalisation to a small business, plus 2 further marks for explaining this benefit, for a maximum of 3 marks. • A small business can reach a larger audience of customers **(1)** because it can sell its products into new countries **(1)** leading to increased revenue and profitability for the business **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Question Number	Explain **one** method of below-the-line promotion a business may use to retain its customers. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a method of below-the-line promotion a business could use, plus 2 further marks for explaining this method, for a maximum of 3 marks. • Existing customers may be offered sales promotions/discounts **(1)** with the aim of enticing customers to buy at a lower price **(1)** and therefore encourage repeat sales by its customers **(1)** **NB** Answers that list three methods with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 12 of 31 · Question 2 part a · 1 mark

2023 NOV · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** benefit to a business of using market segmentation to target its customers. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit to a business of using market segmentation to target its customers, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • To identify customers with similar characteristics **(1)** in order to develop a product or service which meets those customers' needs **(1)** leading to an increase in sales and consumer loyalty **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 12 of 31 · Question 2 part a · 1 mark

2023 NOV · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	It is considering two options: **Option 1:** use venture capital to open new stores **Option 2:** start offering franchises. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – A venture capitalist may provide the funds to build the new stores to sell the jumpers • **Option 2** – A franchisee will pay *AWG* a fee for the right to sell its baby clothes **AO3** • **Option 1** – As well as providing the funds the venture capitalist may also have knowledge of the needs of Icelandic customers • **Option 2** – This method would allow *AWG* to increase its revenue from fees paid by the franchisee **AO4** • **Option 1** – However, the venture capitalist may want to take some control of the business and interfere with the decision making and objectives of the business • **Option 2** – However, *AWG* are reliant on the franchisee running the business well and not causing bad publicity for *AWG* which might impact its brands reputation	**(9)**

Type MS · Financial and non-financial methods of motivation

Answer 12 of 31 · Question 2 part a · 1 mark

2023 NOV · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Financial and non-financial methods of motivation

Answer 12 of 31 · Question 2 part a · 1 mark

2023 NOV · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Define the term **job production.** **Answer**	Mark

Type MS · Financial and non-financial methods of motivation

Answer 13 of 31 · Question 1 part a.i · 1 mark

2024 NOV · Paper 01 · extract 1 of 9 · find part a.i in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D –** Remuneration **A** – is not the correct answer as job enrichment is a non-financial method used to motivate employees **B** – is not the correct answer as job rotation is a non-financial method used to motivate employees **C** – is not the correct answer as autonomy is a non-financial method used to motivate employees	**(1)**

Question Number	Which **one** of the following is an example of secondary research? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is A –** Government reports **B** – is not the correct answer as a survey is a primary method of market research **C** – is not the correct answer as a focus group is a primary method of market research **D** – is not the correct answer as an observation is a primary method of market research	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 13 of 31 · Question 1 part a.i · 1 mark

2024 NOV · Paper 01 · extract 2 of 9 · find part a.i in this mark scheme extract

Question Number	Which **one** of the following would increase the break-even point? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B** – An increase in the variable costs **A** – is not the correct answer as a decrease in fixed costs will lower the break-even point **C** – is not the correct answer as an increase in the selling price will lower the break-even point **D** – is not the correct answer as a decrease in total costs would lower the break-even point	**(1)**

Question Number	Which **one** of the following is provided by a person applying for a job? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is B –** Curriculum vitae (CV) **A** - is not the correct answer as a job description is provided to a job applicant by a business **C** – is not the correct answer as a person specification is provided to a job applicant by a business **D** – is not the correct answer as disciplinary and grievance procedures will be supplied to the successful candidate	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 13 of 31 · Question 1 part a.i · 1 mark

2024 NOV · Paper 01 · extract 3 of 9 · find part a.i in this mark scheme extract

Question Number	Which **one** of the following is the operating profit in 2023? **Answer**	Mark
1 (a)(v)	**AO1 - 1 mark** **The only correct answer is D –** £61 000 **A** – is not the correct answer as £29 000 is the sum of cost of sales and expenses **B** – is not the correct answer as £79 000 is sales minus cost of sales **C** – is not the correct answer as £72 000 is sales minus expenses	**(1)**

Question Number	Which **one** of the following is the percentage change in the cost of material for one robot between 2021 and 2023? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C –** 15.00% **A** – is not the correct answer as 1.30% is 1200/92000 x 100 **B** – is not the correct answer as 13.04% is 12000/92000 x 100 **D** – is not the correct answer as 86.96% is 80000/92000 x100	**(1)**

Question Number	Define the term **stakeholder.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **stakeholder.** • Anyone with an interest in or who is affected by a business	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 13 of 31 · Question 1 part a.i · 1 mark

2024 NOV · Paper 01 · extract 4 of 9 · find part a.i in this mark scheme extract

Question Number	Define the term **social enterprise.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **social enterprise.** • An organisation whose main objective is to be a benefit to society **(1)**	**(1)**

Question Number	State **one** non-current asset that *Saha* is likely to have. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a non-current asset that *Saha* may have. • *Saha* is likely to have machinery which is used to manufacture the robots used in the hospitals **(1)** • *Saha* is likely to have vehicles that are used to deliver robots to the restaurants and hotels **(1)** **NB** Do not accept a non-current asset that is not in the context of *Saha* **Accept any other appropriate response.**	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 13 of 31 · Question 1 part a.i · 1 mark

2024 NOV · Paper 01 · extract 5 of 9 · find part a.i in this mark scheme extract

Question Number	Calculate the total revenue from the sale of all battery packs sold by *Saha* in 2023. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** **5400 (2)** Or 1 mark for working if correct answer not given: 5 x 90 = 450 **(1)** **OR** 5 x 12 = 60 **(1)** **OR** 450 x 12 **(1)** **OR** 60 x 90 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Financial and non-financial methods of motivation

Answer 13 of 31 · Question 1 part a.i · 1 mark

2024 NOV · Paper 01 · extract 6 of 9 · find part a.i in this mark scheme extract

Question Number	Explain **one** advantage to a business of having limited liability. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage to a business of having limited liability plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • As the business exists as a separate legal entity **(1)** if the business goes into debt **(1)** this means the business owners are protected from losing their personal assets **(1)** • The business may raise large amounts of finance through selling shares **(1)** as investors only risk losing the value of their shares if the business fails **(1)** therefore the added finance will help the business to expand **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages to a business of having limited liability with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 13 of 31 · Question 1 part a.i · 1 mark

2024 NOV · Paper 01 · extract 7 of 9 · find part a.i in this mark scheme extract

Question Number	Analyse **two** methods of primary research that could be of benefit to *Saha* when developing its products. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Saha* could conduct interviews with current customers who use the robots in hospitals to understand how moving supplies between departments could be improved • Focus groups could be formed which include customers from restaurants and hotels to discuss potential new features of the robots **AO3** Feedback from interviews will help *Saha* design robots which are better suited to the needs of its customers based in the hospitals • The discussions in the focus groups may give *Saha* ideas on how to improve the function of the robots to meet the requirements of its customers	**(6)**

Type MS · Financial and non-financial methods of motivation

Answer 13 of 31 · Question 1 part a.i · 1 mark

2024 NOV · Paper 01 · extract 8 of 9 · find part a.i in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Financial and non-financial methods of motivation

Answer 13 of 31 · Question 1 part a.i · 1 mark

2024 NOV · Paper 01 · extract 9 of 9 · find part a.i in this mark scheme extract

Question Number	State **one** reason why branding is important to *Saha.* **Answer**	**Mark**

Type MS · Financial and non-financial methods of motivation

Answer 14 of 31 · Question 1 part c · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D – Capital intensive** **A –** Kaizen - this is not correct because it is a method of lean production **B** – Job production - this is not correct because it is usually labour intensive **C** – Just-in-time - this is not correct because this is a method of lean production	**(1)**

Question Number	Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Penetration** **A –** Skimming **-** this is not correct because it is when a business charges a high price to begin with **B –** Competition **-** this is not correct because it is when a business considers its competitors price before setting theirs **D –** Cost plus - this is not correct because it is adding a mark-up to the product	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 14 of 31 · Question 1 part c · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **(1)** Select **one** answer **The only correct answer is B – Paying suppliers later** **A** – Paying overhead costs sooner - this is not correct because it will increase the cash outflow **C** – Increasing the rate of pay for its employees- this is not correct because it will increase the cash outflow **D** –Decreasing the net cash flow - this is not correct because this means increased cash outflows compared to cash inflows	**(1)**

Question Number	Which **one** of the following is a financial business aim? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C – Survival** **A –** Challenge - this is not correct because it is a non-financial business aim **B –** Independence - this is not correct because it is a non-financial business aim **D –** Control - this is not correct because it is a non-financial business aim	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 14 of 31 · Question 1 part c · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – 30 855.00 CNY** **A –** 550.00 CNY - this is not correct because it is the cost of one electric bicycle in £ **B –** 3 300.00 CNY - this is not correct because it is £550 x 6 bicycles **C –** 5 142.50 CNY - this is not correct because it is £550 x the exchange rate of 9.35	**(1)**

Question Number	Using **Figure 1** which **one** of the following is correct for *CCT*? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – it made a profit of 412 658 CYN** **A –** it made a loss of 1 031 646 CYN - this is not correct because it is the total costs **B –** it made a loss of 412 658 CYN - this is not correct because it is the total costs minus revenue **D –** it made a profit of 1 031 646 CYN - this is not correct because it is the total costs	**(1)**

Question Number	Define the term **branding**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **branding**. • A name or logo that distinguishes it from its competition **(1)**	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 14 of 31 · Question 1 part c · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Define the term **autonomy**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **autonomy**. • Employees are given the authority to make decisions about how they work **(1)**	**(1)**

Question Number	State **one** method of secondary market research *CCT* could use to collect market data. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a method of secondary market research *CCT* could use to collect market data. • The internet to search for other bicycle-hire businesses in the local area **(1)** **NB** Do not accept a way that is not in the context of *CCT*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to **two** decimal places, the current ratio for 2024. You are advised to show your working **Answer**	**Additional guidance**	Mark
1 (e)	**A02 - 2 marks** 561 258/ 233 098 **(1)** = 2.41 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Financial and non-financial methods of motivation

Answer 14 of 31 · Question 1 part c · 1 mark

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** benefit to the business owner of operating as a private limited company. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a benefit to an owner of a private limited company, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • A private limited company has limited liability **(1)** which reduces the risk of ownership **(1)** as personal possessions will be protected in the event the business has to pay back any outstanding debts **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Analyse the concerns *CCT* may have of introducing this app for its customers. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers might be reluctant to download the app for a one-off biking experience • It can be costly for *CCT* to introduce an app where customers can book the bicycles. **AO3** • Its customers may have a lot of apps on their phones and might not see the point of downloading another one if they are only using it for a short amount of time whilst on holiday • *CCT* may not have the experience to create an app so may need to pay a designer to build the app and pay someone to maintain the app	**(6)**

Type MS · Financial and non-financial methods of motivation

Answer 14 of 31 · Question 1 part c · 1 mark

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	State **one** financial method of motivation *CCT* could use with its employees. **Answer**	**Mark**

Type MS · Financial and non-financial methods of motivation

Answer 15 of 31 · Question 2 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid financial method of motivation *CCT* could use with its employees. • Commission paid for each customer booked on a cycle tour **(1)** **NB** Do not accept a factor that is not in the context of *CCT.* **Accept any other appropriate response**.	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 15 of 31 · Question 2 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question Number	State **one** benefit to *CCT* of satisfying customer needs. **Answer**	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid benefit to *CCT* of satisfying customer needs. • Its customers will recommend the cycle tours to friends and family **(1)** **NB** Do not accept a benefit that is not in the context of *CCT*. **Accept any other appropriate response.**	**(1)**

Question Number	Explain **one** way a business could increase its profit. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a way a business could increase its profit, plus 2 further marks for explaining this way, for a maximum of 3 marks. • Increase the price of the product **(1)** if customers feel the quality is high they may be willing to pay the new price **(1)** and if costs stay the same profit will increase **(1)** **NB** Answers that list three ways with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 15 of 31 · Question 2 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** way that the introduction of tariffs might affect a business importing goods. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a way that the introduction of tariffs might affect a business importing goods, plus 2 further marks for explaining this impact, for a maximum of 3 marks. • Imported products will now become more expensive **(1)** because of the tax imposed on imports **(1)** which may lead to a decrease in sales for the importer **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Question Number	Explain **one** reason why quality control is important to a business. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why quality control is importance to a business, plus 2 further marks for explaining that reason, for a maximum of 3 marks. • Improved customer satisfaction **(1)** as defects would be identified before goods are despatched to customers **(1)** leading to fewer returns from customers **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 15 of 31 · Question 2 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	The owner of *CCT* wants to measure the success of the business. The owner is considering two options: **Option 1:** customer satisfaction **Option 2:** profit Justify which **one** of these two options the owner of *CCT* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – Customer satisfaction will indicate to *CCT* how happy customers are with the level of the bicycle touring service • **Option 2** – a high level of profit will show *CCT* they can provide the bicycle tours at a cost which is lower than the price they are selling them for **AO3** • **Option 1** – Customer satisfaction would be a useful measure of success since it would tell *CCT* the strengths of its brand and what customer are happy with • **Option 2** – it would be a useful measure as it will show that the business is financially viable and it can cover any costs incurred **AO4** • **Option 1** – However, it is difficult to measure customer satisfaction accurately as it relies on customers leaving reviews and providing honest feedback of their experiences • **Option 2** – However, profit can be affected by short-term fluctuations in the market, making it difficult to measure success over a longer period of time	**(9)**

Type MS · Financial and non-financial methods of motivation

Answer 15 of 31 · Question 2 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Financial and non-financial methods of motivation

Answer 15 of 31 · Question 2 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Define the term **share capital.** **Answer**	Mark

Type MS · Financial and non-financial methods of motivation

Answer 16 of 31 · Question 1 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D Raw materials** **A** – is not the correct answer as insurance is a one-off payment **B** - is not the correct answer as rent is also a fixed cost for a period of time **C** - is not the correct answer as salaries are the same for a certain period	**(1)**

Q. No.	Which **one** of the following is a type of discrimination protected by employee legislation? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Age** **A** – is not the correct answer as political is not protected by employee legislation **B** - is not the correct answer as ethical is not protected by employee legislation **D** - is not the correct answer as promotion is not protected by employee legislation	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 16 of 31 · Question 1 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Q. No.	Which **one** of the following is the price of buying both items with the promotional discount? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B – £150.48** **A** – is not the correct answer as £129.96 is the cost with 24% discount **C** - is not the correct answer as £160.80 is the cost with the discount only applied to one item **D** - is not the correct answer as £171.00 is the cost of the items without a discount	**(1)**

Q. No.	Which **one** of the following is an advantage of primary market research? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C - It is more up to date method of research** **A** – is not the correct answer as it is more expensive than other types of market research **B** – is not the correct answer as it is more time-consuming than other market research methods **D** - is not the correct answer as it is not only carried out by market-research agencies	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 16 of 31 · Question 1 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Q. No.	Which **one** of the following is the closing balance for this month? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is B – €96 000** **B** – is not the correct answer as €88 000 is cash inflow plus cash outflow **C** – is not the correct answer as €110 000 is opening balance plus cash outflow **D** - is not the correct answer as €130 000 is opening balance plus cash inflow	**(1)**

Q. No.	Which **one** of the following is a likely effect of this change for American businesses? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is A – higher loan repayments** **B** – is not the correct answer as the change in interest rates does not affect labour costs **C** – is not the correct answer as the change in interest rates will not improve net cash flow **D** - is not the correct answer as there is no guarantee of an increase in sales	**(1)**

Q. No.	Define the term **autonomy**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **autonomy**. • Giving employees the authority to make choices about the way they work **(1)**	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 16 of 31 · Question 1 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Q. No.	Define the term **qualitative data**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **qualitative data**. • Data relating to attitudes, beliefs and intentions **(1)**	**(1)**

Q. No.	State **one** reason why *Rabanne* may use test marketing when introducing a new product. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Rabanne* may use test marketing when introducing a product in the context of the business • *Rabanne* uses test marketing to see if the new perfume they want to introduce is something that customers are likely to buy **(1)** • If the aftershave is not liked, then *Rabanne* can make adjustments before it is launched **(1)** **NB** Do not accept a reason that is not in the context of *Rabanne*. Accept any appropriate response	**(1)**

Q. No.	Calculate, to **two** decimal places, the price of the handbag in US dollars. You are advised to show your working. **Answer**	**Additional Guidance**	Mark
1 (e)	**A02 - 2 marks** = 1 709.68 **(2)** **OR** 1 590 ÷ 0.93 = **(1)**	Award full marks for correct answer with no working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Financial and non-financial methods of motivation

Answer 16 of 31 · Question 1 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Q. No.	Explain **one** reason why an employer might use a letter to communicate with an employee. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a reason why an employer might use a letter to communicate with an employee, plus 2 further marks, for a maximum of 3 marks. • Letters are private way of communicating **(1)** a job offer/promotion/suspension/redundancy with an employee **(1)** to confirm the next stage in the process **(1)** • Letters are a formal way of communication **(1)** as it portrays a professional image for the business **(1)** and is personal to an employee **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Analyse **two** benefits to *Rabanne* of being a global business. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As *Rabanne* is a global business its perfume can be sold throughout the world • Being global gives *Rabanne* access to a variety of employees who have the skills and knowledge to create different fragrances for men and women **AO3** • Giving it access to a wider range of people who can purchase its products more easily • Providing a variety of skills and talents to help create and sell its products	**(6)**

Type MS · Financial and non-financial methods of motivation

Answer 16 of 31 · Question 1 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Q. No.	State **one** reason why *Rabanne* ensures that all its employees have job enrichment opportunities. **Answer**	Mark

Type MS · Financial and non-financial methods of motivation

Answer 17 of 31 · Question 2 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a reason why *Rabanne* ensures all its employees have job enrichment opportunities. • The employees making the perfume find their job more interesting **(1)** • Job enrichment gives employees the opportunity to try different types of jobs in the production of aftershaves **(1)** **NB** Do not accept a reason that is not in the context of *Rabanne*. Accept any appropriate response.	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 17 of 31 · Question 2 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Q. No.	State **one** way *Rabanne* could measure its success as a business. **Answer**	Mark
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid way *Rabanne* could measure its success in the context of the business. • *Rabanne* can measure its success by the increase in sales of Invictus **(1)** • *Rabanne* can compare its market share with that of other perfume businesses to see which is the most successful **(1)** **NB** Do not accept a way that is not in the context of *Rabanne*. Accept any appropriate response.	**(1)**

Q. No.	Explain **one** reason why some businesses fail. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a reason why some businesses fail, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Poor cashflow can lead to failure **(1)** from a lack of finance **(1)** to pay suppliers and other debtors **(1)** • Prices could be too high and therefore not competitive **(1)** which could result in a fall in demand **(1)** leading to a lack of revenue **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 17 of 31 · Question 2 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Q. No.	Explain **one** reason why a business would use targeted advertising online to promote itself. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of one reason why a business would use targeted advertising online to promote itself, plus 2 further marks for explaining the benefits, for a maximum of 3 marks. • The business can send information to customers who have purchased from them before **(1)** and are more likely to purchase again **(1)** which can lead to improved customer loyalty **(1)** • The business could promote to a specific demographic **(1)** using different online activities **(1)** which may lead to increased brand awareness **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** reason why businesses use statements of comprehensive income when making decisions. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of one reason why businesses use statements of comprehensive income when making decisions, plus 2 further marks for explaining the importance, for a maximum of 3 marks. • A business can see how the business is performing **(1)** and can calculate the profit margin **(1)** along with other calculations if the performance has deteriorated **(1)** • Businesses can use it to compare itself to similar businesses **(1)** which will enable them to judge its performance against competitors **(1)** giving an indication of how well the business is doing **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 17 of 31 · Question 2 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Q. No.	**Option 1:** communicate all information through text messaging/email **Option 2:** hold weekly meetings Justify which **one** of these two options *Rabanne* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – Email is a method that is used by everyone and can be sent from one location to another ensuring all employees are kept up to date on the packaging of the new aftershave • **Option 2** – Holding weekly meetings allows people to meet face to face and give their opinion on the new adverts for Lady Million **AO3** • **Option 1** – This would ensure that all *Rabanne* employees would be kept up to date on production changes • **Option 2** – Discussions can take place on any improvements or amendments that need to be made **AO4** • **Option 1** – However, if there is no internet signal then sending messages and receiving them would be difficult • **Option 2** – However, meetings are very time consuming and not everyone can make the meeting because of the distance between departments	**(9)**

Type MS · Financial and non-financial methods of motivation

Answer 17 of 31 · Question 2 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Financial and non-financial methods of motivation

Answer 17 of 31 · Question 2 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Q. No.	Define the term **just-in-time (JIT).** **Answer**	Mark

Type MS · Financial and non-financial methods of motivation

Answer 18 of 31 · Question 1 part a.ii · 1 mark

2025 NOV · Paper 01 · extract 1 of 9 · find part a.ii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C –** Sales promotion **A** – is not the correct answer as workforce planning is a role within the human resources function **B** – is not the correct answer as quality control is a role withing the production function **D** – is not the correct answer as training employees is a role in the human resources function	**(1)**

Question Number	Which **one** of the following is an example of a non-financial method of motivation? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is D –** Job rotation **A** – is not the correct answer as a bonus is a financial method of motivation **B** – is not the correct answer as remuneration is a financial method of motivation **C** – is not the correct answer as fringe benefits are financial methods of motivation	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 18 of 31 · Question 1 part a.ii · 1 mark

2025 NOV · Paper 01 · extract 2 of 9 · find part a.ii in this mark scheme extract

Question Number	Which **one** of the following is a phase of the product life cycle? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is A** – Introduction **B** – is not the correct answer as a cash cow is a phase of the Boston matrix **C** – is not the correct answer as a dog is a phase of the Boston matrix **D** – is not the correct answer as a star is a phase of the Boston matrix	**(1)**

Question Number	Which **one** of the following is an example of a public service provided by the government? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is B –** Police force **A** - is not the correct answer as a clothing retailer is not a public service **C** – is not the correct answer as a mobile phone provider is not a public service **D** – is not the correct answer as a grocery store is not a public service	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 18 of 31 · Question 1 part a.ii · 1 mark

2025 NOV · Paper 01 · extract 3 of 9 · find part a.ii in this mark scheme extract

Question Number	Which **one** of the following is the interest charged by the bank on an overdraft of €1 400? **Answer**	Mark
1 (a)(v)	**AO1 - 1 mark** **The only correct answer is B –** €168 **A** – is not the correct answer as €140 is 10% of €1 400 **C** – is not the correct answer as €1 388 is €1 400 minus 12 **D** – is not the correct answer as €1 568 is €1 400 plus 12%	**(1)**

Question Number	Which **one** of the following is the percentage change in the total costs between 2022 and 2023 **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C –** 10.53% **A** – is not the correct answer as 0.90% is 380 000/420 000 **B** – is not the correct answer as 9.52% is 40 000/420 000 x 100 **D** – is not the correct answer as 90.48% is 380 000/420 000 x 100	**(1)**

Question Number	Define the term **primary sector.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **primary sector.** • Businesses involved in the extraction of raw materials	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 18 of 31 · Question 1 part a.ii · 1 mark

2025 NOV · Paper 01 · extract 4 of 9 · find part a.ii in this mark scheme extract

Question Number	Define the term **shareholder.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **shareholder.** • Anyone who buys a share in a business **(1)**	**(1)**

Question Number	State **one** benefit to *Ocean Vibes* of using competition pricing. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a benefit to *Ocean Vibes* of using competition pricing. • *Ocean Vibes* may attract sales from other boat tour businesses **(1)** **NB** Do not accept a benefit that is not in the context of *Ocean Vibes* **Accept any other appropriate response.**	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 18 of 31 · Question 1 part a.ii · 1 mark

2025 NOV · Paper 01 · extract 5 of 9 · find part a.ii in this mark scheme extract

Question Number	Calculate the price of the boat tour in UK pounds (£). You are advised to show your working. **Answer**	Mark
1 (e)	**A02 - 2 marks** Award 2 marks for the correct answer. £57 **(2)** OR Award 1 mark for working 60 x 0.95 **(1)**	**(2)**

Type MS · Financial and non-financial methods of motivation

Answer 18 of 31 · Question 1 part a.ii · 1 mark

2025 NOV · Paper 01 · extract 6 of 9 · find part a.ii in this mark scheme extract

Question Number	Explain **one** advantage to an individual of being a sole trader. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage to an individual of being a sole trader plus 2 further marks for explaining the advantage for a maximum of 3 marks. • The individual has complete control over the business **(1)** as they make all the decisions for the business **(1)** therefore decisions for the business can be made quickly **(1)** • The individual keeps all the profits **(1)** as they have no partners/shareholders within the business **(1)** which means that they can increase their personal wealth **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages to an individual of being a sole trader with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 18 of 31 · Question 1 part a.ii · 1 mark

2025 NOV · Paper 01 · extract 7 of 9 · find part a.ii in this mark scheme extract

Question Number	Analyse why *Ocean Vibes* should measure employee satisfaction. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Measuring employee satisfaction at *Ocean Vibes* will help it to retain its tour guides who operate the dolphin and bird tours • If employees at *Ocean Vibes* are satisfied, they will be motivated to provide good quality boat tours **AO3** • This will reduce recruitment and training costs for *Ocean Vibes* which may lead to higher levels of profitability • This may lead to good reviews from customers which may encourage good recommendation and increased sales	**(6)**

Type MS · Financial and non-financial methods of motivation

Answer 18 of 31 · Question 1 part a.ii · 1 mark

2025 NOV · Paper 01 · extract 8 of 9 · find part a.ii in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Financial and non-financial methods of motivation

Answer 18 of 31 · Question 1 part a.ii · 1 mark

2025 NOV · Paper 01 · extract 9 of 9 · find part a.ii in this mark scheme extract

Question Number	State **one** fixed cost *Ocean Vibes* is likely to pay. **Answer**	**Mark**

Type MS · Financial and non-financial methods of motivation

Answer 19 of 31 · Question 1 part b · 1 mark

2025 NOV · Paper 02 · extract 1 of 8 · find part b in this mark scheme extract

1 (a) (i)	**AO1 – 1 mark** **The only correct answer is A – Survival** **B** – is not the correct answer as independence is a non-financial aim of a business **C** - is not the correct answer as control is a non-financial aim of a business **D** -is not the correct answer as challenge is a non-financial aim of a business	**(1)**

Q. No.	Which **one** of the following is a job in the secondary sector? **Answer**	Mark
1 (a) (ii)	**AO1 – 1 mark** **The only correct answer is D – Ship builder** **A** – is not the correct answer as a farmer works in the primary sector **B** - is not the correct answer as a grocery store manager works in the tertiary sector **C** - is not the correct answer as a restaurant waiter works in the tertiary sector	**(1)**

Q. No.	Which **one** of the following is the total daily remuneration cost for the three factories? **Answer**	Mark
1 (a) (iii)	**AO2 – 1 mark** **The only correct answer is D – €57 000** **A** - is not the correct answer as €15 000 is 125 x €120 **B** - is not the correct answer as €16 800 is 140 x €120 **C** - is not the correct answer as €25 200 is 210 x €120	**(1)**

4

Type MS · Financial and non-financial methods of motivation

Answer 19 of 31 · Question 1 part b · 1 mark

2025 NOV · Paper 02 · extract 2 of 8 · find part b in this mark scheme extract

Q. No.	Which **one** of the following is an advantage of a hierarchical organisational structure? **Answer**	Mark
1 (a) (iv)	**AO1 – 1 mark** **The only correct answer is C – It has more job promotion opportunities for its employees** **A** – is not the correct answer as it is more expensive than a flat organisation structure **B** – is not the correct answer because a flat structure has a short chain of command **D** - is not the correct answer because a flat structure has a wide span of control	**(1)**

Q. No.	Which one of the following is the net cash flow for this month? **Answer**	Mark
1 (a) (v)	**AO2 – 1 mark** **The only correct answer is B – €25 000** **A** – is not the correct answer as €17 000 is the opening balance minus the cash inflow **C** – is not the correct answer as €42 000 is the opening balance minus cash outflow **D** - is not the correct answer as €101 000 is the opening balance plus cash inflow minus cash outflow	**(1)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Financial and non-financial methods of motivation

Answer 19 of 31 · Question 1 part b · 1 mark

2025 NOV · Paper 02 · extract 3 of 8 · find part b in this mark scheme extract

Q. No.	Which **one** of the following best describes Taylor's motivational theory? **Answer**	Mark
1 (a) (vi)	**AO1 – 1 mark** **The only correct answer is A – workers are motivated by money** **B** – is not the correct answer as esteem needs relate to Maslow's theory of motivation **C** – is not the correct answer as hygiene factors relate to Herzberg's theory of motivation **D** - is not the correct answer as working in a team relates to Maslow's theory of motivation	**(1)**

6

Type MS · Financial and non-financial methods of motivation

Answer 19 of 31 · Question 1 part b · 1 mark

2025 NOV · Paper 02 · extract 4 of 8 · find part b in this mark scheme extract

Q. No.	Define the term **job rotation.** **Answer**	Mark
1 (b)	**AO1 – 1 mark** Award 1 mark for a correct definition of **job rotation**. • Employees spending a period of time in different jobs/departments **(1)**	**(1)**

Q. No.	Define the term **interest rate**. **Answer**	Mark
1 (c)	**AO1 – 1 mark** Award 1 mark for a correct definition of **interest rate.** • A percentage charged for borrowing money/reward for saving money **(1)**	**(1)**

Q. No.	State **one** job that an employee of *Samsung* might do in the production department. **Answer**	Mark
1 (d)	**AO2 – 1 mark** Award 1 mark for a job that an employee of *Samsung* may do in the production department • A *Samsung* employee may work on the production line that makes laptops **(1)** • A *Samsung* employee may be responsible for the quality control of the TV's **(1)** **NB** Do not accept a reason that is not in the context of *Samsung* Accept any appropriate response	**(1)**

7

Type MS · Financial and non-financial methods of motivation

Answer 19 of 31 · Question 1 part b · 1 mark

2025 NOV · Paper 02 · extract 5 of 8 · find part b in this mark scheme extract

Q. No.	Calculate the factory's productivity of smartphones per hour. You are advised to show your working **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 – 2 marks** Award 2 marks for the correct answer 50 **(2)** **OR** award 1 mark for workings if final answer is incorrect 1000 / 20 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain one advantage to a business of mass marketing. **Answer**	**Mark**
1 (f)	**A01 – 3 marks** Award 1 mark for identification of an advantage to a business of mass marketing, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • More sales may be generated **(1)** as the product is promoted to a large number of people **(1)** which may improve the profitability of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

8

Type MS · Financial and non-financial methods of motivation

Answer 19 of 31 · Question 1 part b · 1 mark

2025 NOV · Paper 02 · extract 6 of 8 · find part b in this mark scheme extract

Q. No.	Analyse how recruitment documents may help *Samsung* to hire the best employees for its business **Indicative content**	Mark
1 (g)	**AO2 = 3 marks** **AO3 = 3 marks** **AO2** • *Samsung* can review the information contained in the curriculum vitae (CV) of the applicants to consider the previous experience of the design engineers • *Samsung* can use a person specification to stipulate the education and skills required by the recruits to manufacture and design TV's and smartphones **AO3** • The CV can be used by *Samsung* to decide if the applicant experience match the requirements of jobs in its business. • This should lead to *Samsung* only receiving applications from people who have the skills required to help them compete in the electronics market	**(6)**

9

Type MS · Financial and non-financial methods of motivation

Answer 19 of 31 · Question 1 part b · 1 mark

2025 NOV · Paper 02 · extract 7 of 8 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

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Type MS · Financial and non-financial methods of motivation

Answer 19 of 31 · Question 1 part b · 1 mark

2025 NOV · Paper 02 · extract 8 of 8 · find part b in this mark scheme extract

Q. No.	State **one** reason why *Samsung* may need long-term finance. **Answer**	**Mark**

Type MS · Financial and non-financial methods of motivation

Answer 20 of 31 · Question 2 part c · 3 marks

2019 JUN · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason for a non-financial objective in the context of the business. • Social objectives of working with the local area and helping children and communities **(1)**. • *Tata Motor Company* wants a good image of producing a car that does not harm the environment too much **(1)**. **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason of employing casual staff in the context of the business. • When *Tata Motor Company* is busy, with many new orders for its vehicles **(1)**. • When someone is off on long-term sick from the production line **(1)**. **Accept any other appropriate response.**	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 20 of 31 · Question 2 part c · 3 marks

2019 JUN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a reason for using fringe benefits, plus 2 further marks for explaining why fringe benefits are beneficial for a business, for a maximum of 3 marks. • Employees will be motivated. **(1)** This could lead to improvement in productivity **(1)** and higher sales **(1).** NB Answers that list three benefits with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a reason to use job production, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Job production is used to produce a unique piece of work. **(1)** It is made to meet the exact needs of the customer **(1)** that requires time and skills of the employees **(1).** Answers that list three reasons with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response**.	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 20 of 31 · Question 2 part c · 3 marks

2019 JUN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit of a short chain of command, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • A short chain of command means that communication between workers and managers is less **(1)**. Therefore there is less chance of messages being mistaken **(1)**. Managers are less remote and therefore if there is a problem they can sort it out quicker **(1)**. Answers that list three benefits of short chains of commands with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 20 of 31 · Question 2 part c · 3 marks

2019 JUN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – With cost plus pricing *Tata Motor Company* know that the cost of making the vehicle has been covered. • **Option 2** – If *Tata Motor Company* uses promotional pricing it is a good strategy for selling new vehicles. **AO3** • **Option 1** – *Tata Motor Company* knows that if the cars are selling well it is making money, which means more profit for the business. • **Option 2** – The lower price from the promotional price will result in higher sales. **AO4** • **Option 1** – Although this type of pricing method guarantees a profit on the cost of manufacturer it does not guarantee that sales are going to be made, especially if a competitor is cheaper, therefore selling more vehicles. • **Option 2** - Even though the sales may be higher, the profit per vehicle will be lower.	**(9)**

Type MS · Financial and non-financial methods of motivation

Answer 20 of 31 · Question 2 part c · 3 marks

2019 JUN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Financial and non-financial methods of motivation

Answer 20 of 31 · Question 2 part c · 3 marks

2019 JUN · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark

Type MS · Financial and non-financial methods of motivation

Answer 21 of 31 · Question 2 part c · 3 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 7 · find part c in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid item that could be included in a Curriculum Vitae in the context of the business. • Previous experience of health and safety legislation from working in food factories **(1)** • Previous employers as referees confirming that they have appropriate food experience **(1)** **NB** Do not accept an item that is not in the context of *Cadbury*. **Accept any other appropriate response.**	**(1)**

Question Number	State **one** item of information that may appear in a job description for a *Cadbury* Production Line Supervisor. Answer	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid item of information that may appear in a job description for a Production Line Supervisor in the context of the business. • Experience of supervising employees making chocolate on a production line **(1)** • Experience of supervising employees in a *Mondelez* production facility **(1)** **NB** Do not accept an item that is not in the context of *Cadbury*. **Accept any other appropriate response.**	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 21 of 31 · Question 2 part c · 3 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** method a business could use to motivate its employees. **Answer**	**Mark**
2 (c)	**A01 - 3 marks** Award 1 mark for a method a business could use to motivate its employees, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Giving its employees fringe benefits **(1)** such as discounts off products produced **(1)** makes them feel that their work is valued **(1)** • Bonus payments given to employees **(1)** as an individual or teams **(1)** when they have met certain targets **(1)** **NB** No marks are awarded for a definition. Answers that list three methods why a business could use to motivate its employees, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 21 of 31 · Question 2 part c · 3 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** reason why a business has fully trained employees. **Answer**	**Mark**
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why businesses ensure that its employees are fully trained, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Training is important as it increases the skills and knowledge of the employee **(1)** so that they can perform their job more effectively **(1)** thereby increasing productivity **(1)** • The training keeps employees up-to-date **(1)** with any new technology/machines **(1)** so that they can maximise the amount they can produce per hour **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why businesses ensure that its employees are fully trained, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 21 of 31 · Question 2 part c · 3 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** reason why many manufacturing businesses use Kaizen in their factories. Answer	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification why businesses use Kaizen in manufacturing plus 2 further marks for explaining why, for a maximum of 3 marks. • Kaizen means employees are involved in the process of improvement **(1)** and suggest ways in the manufacturing process **(1)** that could lead to improved product quality **(1)** • Kaizen helps to reduce waste **(1)** as employees understand how to operate the machinery more effectively **(1)** resulting in lower overall costs for the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons of why businesses use Kaizen in manufacturing with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 21 of 31 · Question 2 part c · 3 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 7 · find part c in this mark scheme extract

Question Number	**Option 1:** allowing employees to work part-time **Option 2:** allowing employees to job share. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** AO2 • **Option 1** – By offering part-time working *Cadbury* can provide flexibility for their employees • **Option 2** – If one employee in the job share is absent through illness then the other members may be able to take the place in the design of chocolate wrappers AO3 • **Option 1** – *Cadbury* can use the flexibility of part-time staff to meet increased seasonal demands such as Christmas • **Option 2** – Job sharing benefits *Cadbury* as it provides the ideas and enthusiasm of two people rather than one AO4 • **Option 1** – However, it may increase employment costs because of legal benefits that have to be offered to part-time employees • **Option 2** – However, the two people job sharing will have to work as a team and liaise effectively	**(9)**

Type MS · Financial and non-financial methods of motivation

Answer 21 of 31 · Question 2 part c · 3 marks

2022 JUN · Paper 02 (regional R) · extract 6 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Financial and non-financial methods of motivation

Answer 21 of 31 · Question 2 part c · 3 marks

2022 JUN · Paper 02 (regional R) · extract 7 of 7 · find part c in this mark scheme extract

Question Number	Define the term **public relations.** Answer	Mark

Type MS · Financial and non-financial methods of motivation

Answer 22 of 31 · Question 3 part b · 2 marks

2024 JUN · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of **multinationals** • A business that operates in more than one country **(1)**	**(1)**

Q. No.	Outline **one** reason why *TUI* offers employees working in its travel agencies a commission based on the number of holidays they sell. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *TUI* offers employees working in its travel agencies, a commission based on the number of holidays they sell plus 1 further mark for linking it to the context of the business. • An employee will work harder to sell *TUI*'s cruises and extensions to holidays **(1)** because the more they sell the more commission they will receive **(1)** **NB** Do not accept a reason that is not in the context of *TUI*. **Accept any other appropriate response.**	**(2)**

Q. No.	Calculate, to **two** decimal places, the current ratio for *TUI* for 2022. **Answer**	**Additional Guidance**	**Mark**
3 (c)	**A02 - 2 marks** 7 758 152 ÷ 5 654 468 **(1)** = 1.37 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Type MS · Financial and non-financial methods of motivation

Answer 22 of 31 · Question 3 part b · 2 marks

2024 JUN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Q. No.	Analyse the effect on *TUI* customers of an increase in interest rates. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers may have less to spend on holidays and cruises if interest rates increase • Some customers on holiday may not book additional trips or excursions offered by *TUI* **AO3** • This could lead to a reduction in customers booking holidays or going to travel agencies of *TUI* competitors • This could lead to *TUI* having to reduce or cancel trips, which reduces its income	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Financial and non-financial methods of motivation

Answer 22 of 31 · Question 3 part b · 2 marks

2024 JUN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Q. No.	**Option 1:** using the internet **Option 2:** asking customers to complete a questionnaire. Justify which **one** of these two options *TUI* should use. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – *TUI* could use the internet to view a wide variety of customers comments made about their experiences and service received whilst on holiday in Greece • **Option 2** – Customers can take their time completing the form giving details of the experiences/services they received whilst taking part in a day trip around Rome **AO3** • **Option 1** – By using the internet it does reduce the time spent researching and is less costly than other methods available • **Option 2 –** Thus giving *TUI* detailed information of their trip and possible ways to improve it **AO4** • **Option 1** – However, *TUI* could spend a great deal of time looking at information which is not relevant to them or is out of date, or even places they do not offer holidays to • **Option 2** – However, not all customers may want to complete the questionnaires so there may be less data to use	**(9)**

Type MS · Financial and non-financial methods of motivation

Answer 22 of 31 · Question 3 part b · 2 marks

2024 JUN · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Financial and non-financial methods of motivation

Answer 22 of 31 · Question 3 part b · 2 marks

2024 JUN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the percentage increase in the cost of the employees from 2021 to 2022. **Answer**	Additional Guidance	Mark

Type MS · Financial and non-financial methods of motivation

Answer 23 of 31 · Question 2 part f · 9 marks

2019 JUN · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for any valid piece of information in the context of the business. • Discount off any shoes for friends and family **(1).** • Allow employees to gain a qualification in customer service **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**AO2 - 1 mark** Award 1 mark for any valid piece of information in the context of the business. • Gain more knowledge about shoes/accessories **(1).** • Receive training at a college on selling men and children's shoes **(1).** **Accept any other appropriate response.**	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 23 of 31 · Question 2 part f · 9 marks

2019 JUN · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**AO1 - 3 marks** Award 1 mark for identification of a reason for having a human resource functional area, plus 2 further marks for explaining this reason for a business, for a maximum of 3 marks. • A reason is to recruit employees **(1).** It will identify a vacancy in the business and seek to fill it **(1)** having found the right person for that role **(1).** Answers that list more than one reason with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (d)	**AO1 - 3 marks** Award 1 mark for identification of method, plus 2 further marks for explaining this method, for a maximum of 3 marks. • A business could use television advertising **(1).** This can be seen by large numbers of people raising awareness **(1)** resulting in an increase in sales for a business **(1).** Answers that list more than one method with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 23 of 31 · Question 2 part f · 9 marks

2019 JUN · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of one way the product life cycle can be extended, plus 2 further marks for explaining the way, for a maximum of 3 marks. • A business could change the packaging of its product **(1),** this could be done by brightening up old packaging or adding extras to the packaging **(1).** This could result in more repeat purchase as well as new custom **(1).** Answers that list more than one way with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 23 of 31 · Question 2 part f · 9 marks

2019 JUN · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 –*Backyard Shoez* could give bonuses for the person who has achieved the highest shoes sales within a month. • Option 2 – *Backyard Shoez* could use job enrichment to give their employees greater responsibilities within the shoe shop. **AO3** • Options 1 – The employees may be encouraged to work harder and compete against each other to gain the highest shoe sales for the bonus. • Option 2 – This will motivate employees as they can see they are being given the opportunity to use their abilities within the shoe shop as they are trusted by *Backyard Shoez.* **AO4** • Option 1 – However, if an employee cannot continually achieve the highest shoes sales then they may become demotivated and this could have the opposite effect. • Option 2 – However, some employees may resent not being chosen for job enrichment as therefore may become demotivated.	**(9)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Financial and non-financial methods of motivation

Answer 23 of 31 · Question 2 part f · 9 marks

2019 JUN · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Financial and non-financial methods of motivation

Answer 23 of 31 · Question 2 part f · 9 marks

2019 JUN · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark

Type MS · Financial and non-financial methods of motivation

Answer 24 of 31 · Question 3 part e · 9 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

3 (a)	**AO1 = 1 mark** Award 1 mark for a correct definition of multi-national business. • A business that is operational in more than one country **(1)**. Accept any other appropriate response.	**(1)**

Question Number	Answer	Mark
3 (b)	**AO2 = 2 marks** • It means that the revenue from *Yellow* **(1)** can help out the other businesses in the group **(1).** • It could increase *Yellow*'s brand awareness **(1)** which as result more customers would be interested in the clothing industry **(1).** NB Do not accept reasons that would not be appropriate for the context of *BEXIMCO*. Accept any other appropriate response.	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**AO2 = 2 marks** 10.68/147.5 x 100 **(1)** = 7.24 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for if correct numerical answer without working.	**(2)**

Type MS · Financial and non-financial methods of motivation

Answer 24 of 31 · Question 3 part e · 9 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • All demographics need to buy clothing. • Covering a range of clothing spreads the risk. **AO3** • By selling to all demographics , *Yellow* will have a larger number of customers. • If sales of children's clothing is not as good it can be compensated by sales from teenage clothing.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Financial and non-financial methods of motivation

Answer 24 of 31 · Question 3 part e · 9 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By adding additional tasks such as supervising newly recruited employees. • **Option 2** – Employees could rotate from working in the store with customers or in the back room with the stock. **AO3** • **Option 1** -The employee will gain the experience of the new tasks and feel appreciated by the business. The member of staff will then feel more committed to the business. • **Option 2** - By using job rotation it distracts from the boredom of doing one job, e.g. unpacking items to put on shelves to creating displays in the store. It helps the managers if staff are able to move from one job to another at busy times. **AO4** • **Option 1** - *Yellow* will benefit from the employee being able to carry out different tasks, but there may come to a point where they demand more pay. • **Option 2** – This could incur cost of time and training of the employee who then might use their new skills to seek another job.	**(9)**

Type MS · Financial and non-financial methods of motivation

Answer 24 of 31 · Question 3 part e · 9 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Financial and non-financial methods of motivation

Answer 24 of 31 · Question 3 part e · 9 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Financial and non-financial methods of motivation

Answer 25 of 31 · Question 2 part f · 9 marks

2020 NOV · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

2 (a)	**AO2 = 1 mark** Award 1 mark for a valid reason of business failure in the context of the business. • Ollie may not have enough experience of other musical instruments so costs could increase as he may have to employ a specialist musician (1). • An increase in the economy could lead to an increase in the demand of leisure activities and Ollie may not be able to cope with the demand (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**AO2 = 1 mark** Award 1 mark for a valid benefit of employing casual staff in the context of the business. • If *TADS* is successful it can employ music teachers for instruments other than drums when needed (1). • When *TADS* has quieter periods of business it can reduce the hours of the specialist teachers (1).	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 25 of 31 · Question 2 part f · 9 marks

2020 NOV · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**AO1 = 3 marks** Award 1 mark for identification of a purpose of market research, plus 2 further marks for explaining this purpose for a business, for a maximum of 3 marks. • A purpose of market research can be to identify your customers' needs (1) this will help you to design your products to meet those needs (1) and allow the business to be more successful (1). NB Answers that list three purposes with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**
Question Number	Answer	Mark
2 (d)	**AO1 = 3 marks** Award 1 mark for identification of a measure of business success, plus 2 further marks for explaining this measure for a business, for a maximum of 3 marks. • A measure can be through customer satisfaction (1). If customers are happy with the products/services they are likely to revisit the business (1) and this could lead to them recommending the business to friends and family (1). NB Answers that list three measures with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 25 of 31 · Question 2 part f · 9 marks

2020 NOV · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**AO1 = 3 marks** Award 1 mark for the identification of an impact of an increase in interest rates, plus 2 further marks for explaining that impact, for a maximum of 3 marks. • An increase in interest rates could lead to higher costs for a business (1). This can lead to a reduction in profits because each month the business must pay back part of the debt (1) and the interest charged on the loan will be higher (1). Answers that list three impacts of an increase in interest rates with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 25 of 31 · Question 2 part f · 9 marks

2020 NOV · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – By using commission *TADS* would encourage its teachers to find new pupils who want to learn music. • Option 2 – Increasing the hourly rate would encourage music teachers to work for longer hours. **AO3** • Option 1 – By recruiting more pupils teachers will be paid a commission on top of their hourly rate for teaching. • Option 2 – Teachers are more likely to remain with *TADS* as they believe they are being paid well for the work they do. **AO4** • Option 1 – However, the commission is a one-off payment and once paid the teachers would only receive their hourly rate, which may not be sufficient to continue to be employed by *TADS*. • Option 2 – However, if *TADS* cannot increase the number of pupils it may not be able to retain all of the teachers it currently employs.	**(9)**

Type MS · Financial and non-financial methods of motivation

Answer 25 of 31 · Question 2 part f · 9 marks

2020 NOV · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Financial and non-financial methods of motivation

Answer 25 of 31 · Question 2 part f · 9 marks

2020 NOV · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark

Type MS · Financial and non-financial methods of motivation

Answer 26 of 31 · Question 3 part e · 9 marks

2021 JUN · Paper 02 · extract 1 of 5 · find part e in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of economies of scale. • When average costs fall as a result of a business increasing in size **(1)**	**(1)**

Question Number	Outline **one** reason why *NEXT* uses special offers. Answer	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a reason why *NEXT* have special offers, plus 1 further mark for linking it to the context of the question. • *NEXT* have special offers to encourage customers to purchase clothes **(1).** Once they have purchased dresses using a special offer they may return to purchase others **(1)** NB Do not accept a reason that is not in the context of *NEXT*. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate the number of women working at *NEXT*. Answer	Additional guidance	Mark
3 (c)	**A02 - 2 marks** 43,000 X 0.7 **(1)** = 30,100 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Financial and non-financial methods of motivation

Answer 26 of 31 · Question 3 part e · 9 marks

2021 JUN · Paper 02 · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Analyse why *NEXT* would want to remove any communication barriers within its organisation. Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As *NEXT* trades in different countries it will therefore need employees to speak the language of that country. • If *NEXT* has long chains of command it could mean that messages from head office take too long to reach shop assistants. **AO3** • By speaking the language of the customer the staff can communicate and make it easier to increase sales. • The communication could become unclear/inaccurate on its way through the chain of command leading to errors.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Financial and non-financial methods of motivation

Answer 26 of 31 · Question 3 part e · 9 marks

2021 JUN · Paper 02 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	**Option 1:** job rotation **Option 2:** job enrichment. (e) Justify which **one** of these two options *NEXT* should choose. Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By offering job rotation the employees may get to experience different jobs moving from the stock room to working on the shop floor • **Option 2** – With job enrichment *NEXT* employees may find they utilise their skills of displaying the furniture and child clothes in their shop windows **AO3** • **Option 1** – The employees may find the experience of moving from the stock room to the shop floor gives them additional skills and knowledge which can be used within *NEXT* • **Option 2** – The employees will be able to use the new skills of displaying products in applying for different jobs either within *NEXT* or at another business **AO4** • **Option 1** – However, these new experiences and skills may mean that employees could decide to look for other jobs other than remaining employed by *NEXT* • **Option 2** – However, this could incur additional costs for *NEXT* of time and training of the employees	**(9)**

Type MS · Financial and non-financial methods of motivation

Answer 26 of 31 · Question 3 part e · 9 marks

2021 JUN · Paper 02 · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7-9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Financial and non-financial methods of motivation

Answer 26 of 31 · Question 3 part e · 9 marks

2021 JUN · Paper 02 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Calculate to two decimal places the operating profit margin for *NEXT* in 2019. Answer	Additional guidance	Mark

Type MS · Financial and non-financial methods of motivation

Answer 27 of 31 · Question 2 part f · 9 marks

2021 NOV · Paper 02 · extract 1 of 6 · find part f in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason for *Huawei* paying its employees above the minimum wage in the context of the business. • Employees are more likely to stay with *Huawei* and not move to a competitor such as Samsung to earn additional money **(1)** • Employees are less likely to take time off from making smartphones if they are paid well and will stay more committed to *Huawei* **(1)** • **Accept any other appropriate response.**	**(1)**

Question Number	State **one** possible reason why *Huawei* would want to keep its customers loyal to its brand. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why *Huawei* would want to keep its customers loyal in the context of the business. • Loyal customers will return to *Huawei* when they need to upgrade their smartphones **(1)** • *Huawei* want its customers to return and purchase other products such as its tablets **(1)** **Accept any other appropriate response.**	**(1)**

4BS1 02 November 2021

Type MS · Financial and non-financial methods of motivation

Answer 27 of 31 · Question 2 part f · 9 marks

2021 NOV · Paper 02 · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** reason why having good public relations is important to a business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark why good public relations is important to a business, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By a business having good public relations means it is likely to improve its brand image **(1).** This could lead to increased sales and **(1)** overall profitability **(1)** NB No marks are awarded for a definition. Answers that list three reasons why good public relations are important to a business with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** benefit of being a multinational business. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a benefit of being a multinational business, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Multinationals operate globally **(1).** So, if the sales are low in one country this can be offset by high sales in another country **(1)** thus, thereby spreading the risk for the business **(1)** NB Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Financial and non-financial methods of motivation

Answer 27 of 31 · Question 2 part f · 9 marks

2021 NOV · Paper 02 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** reason why secondary research would be used by a business. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why secondary research would be of interest to a business, plus 2 further marks for explaining why it would be of interest to a business, for a maximum of 3 marks. • Secondary research already exists and is available **(1)** this can save a business a great deal of time and effort in collecting such information **(1).** The information can then be used to help the business to further develop its products or gain information on other businesses **(1)** NB Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Financial and non-financial methods of motivation

Answer 27 of 31 · Question 2 part f · 9 marks

2021 NOV · Paper 02 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	**Option 1:** financial **Option 2:** non-financial. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By offering financial methods to its employees such as bonus payments, piece rates, employees will remain productive • **Option 2** – If *Huawei* offers non-financial benefits such as job enrichment employees are more likely to enjoy working at the *Huawei* and feel motivated **AO3** • **Option 1** – Employees are more likely to stay with *Huawei* than move to another business • **Option 2** – Employees will gain new skills and feel valued by *Huawei*, which may help them gain promotion such as becoming a supervisor of a group of staff assembling tablets or watches **AO4** • **Option 1** – However, employees may not be interested in bonus payments if they are assembling tablets and they do not meet the targets set therefore not getting the additional wage • **Option 2** – However, not all employees are motivated by non-financial methods of motivation such as job enrichment, they may prefer to remain producing smartphones and would prefer to have additional wages in their payslips so that they can pay their bills	**(9)**

4BS1 02 November 2021

Type MS · Financial and non-financial methods of motivation

Answer 27 of 31 · Question 2 part f · 9 marks

2021 NOV · Paper 02 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Financial and non-financial methods of motivation

Answer 27 of 31 · Question 2 part f · 9 marks

2021 NOV · Paper 02 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Define the term **revenue**. **Answer**	Mark

Type MS · Financial and non-financial methods of motivation

Answer 28 of 31 · Question 3 part e · 9 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **autonomy.** • Giving workers the authority to make choices and decisions about the way they work **(1)**	**(1)**

Question Number	Outline **one** reason why *M&M* might locate a new factory near to a labour force. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *M&M* might locate its factories near to a labour force, plus 1 further mark for linking it to the context. • To have access to a wide pool of labour when the car plant opens **(1)** that pool to include production line workers and skilled technicians **(1)** **NB** Do not accept a reason that is not in the context of *M&M.* **Accept any other appropriate response.**	**(2)**

Type MS · Financial and non-financial methods of motivation

Answer 28 of 31 · Question 3 part e · 9 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Calculate to 2 decimal places the current ratio for 2020. **Answer**	**Additional guidance**	**Mark**
3 (c)	**AO2 - 2 marks** 3 400/900 **(1)** = 3.78 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse why *M&M* would want to compare its business with other vehicle manufacturers. **Indicative content**	**Mark**
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *M&M* can compare its sales of cars with other businesses such as the Ford Motor Company • If Fiat introduce different models of tractors *M&M* may consider changing the design of their own tractors **AO3** • If *M&M*'s figures are not as good as Ford Motor Company, they may try to improve sales by offering discounts or other incentives to customers • There is no guarantee that if *M&M* introduces a new tractor that it will compete with Fiat's tractors	**(6)**

Type MS · Financial and non-financial methods of motivation

Answer 28 of 31 · Question 3 part e · 9 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Financial and non-financial methods of motivation

Answer 28 of 31 · Question 3 part e · 9 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number	**Option 1:** job rotation **Option 2:** bonus **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By giving employees the opportunity to move to different jobs on or off the production line from manufacturing vehicle parts to help designing vehicle parts keeps them involved in all aspects of production • **Option 2** – A bonus payment if car manufacturing targets are met makes employees feel valued and they would want to continue working for *M&M* in the car road-testing section **AO3** • **Option 1** – Employees are more likely to remain with *M&M* than look for another job, as they are continually gaining new experiences and skills • **Option 2** – A bonus encourages employees to work harder to ensure they gain their bonus **AO4** • **Option 1** – However, employees may not be interested in job rotation as it may not increase their wages • **Option 2** – However, employees may not be interested in bonus payments if their bonus is based on everyone who works in the factory, as some employees may not work as hard as others	**(9)**

Type MS · Financial and non-financial methods of motivation

Answer 28 of 31 · Question 3 part e · 9 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Financial and non-financial methods of motivation

Answer 28 of 31 · Question 3 part e · 9 marks

2023 JUN · Paper 02 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Calculate, to 2 decimal places, the cost of the tractor in pounds sterling (GBP). **Answer**	Additional guidance	Mark

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **overdraft.** • An agreement to draw more money from a bank account that it has in it **(1)**	**(1)**

Question Number	Outline **one** reason why *IKEA* would read reports issued by governments. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *IKEA* would read government reports, plus 1 further mark for linking it to the context of the question. • If a government reported that it was going to reduce the amount of money people have to spend by increasing income tax **(1)** this could mean that people might not purchase more furniture for their home **(1)** **NB** Do not accept a reason that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(2)**

Type MS · Financial and non-financial methods of motivation

Answer 29 of 31 · Question 3 part e · 9 marks

2023 JUN · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Calculate to 2 decimal places the bonus this employee would receive. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 177 070 x 0.075 **(1)** = 13 280.25 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Financial and non-financial methods of motivation

Answer 29 of 31 · Question 3 part e · 9 marks

2023 JUN · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Analyse why *IKEA* shortlists candidates for positions in its factories. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Shortlisting saves *IKEA* time by only calling applicants for an interview, if they have the experience or qualifications to be able to packaging flat packs in an *IKEA* factory • *IKEA* will shortlist candidates that match the job description of a carpenter working in its factories **AO3** • Only such applicants will be interviewed meaning the time required of *IKEA*'s Human Resources to make an appointment of a factory worker is reduced • They check that the details on the application form matches the job the applicant is applying for	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Financial and non-financial methods of motivation

Answer 29 of 31 · Question 3 part e · 9 marks

2023 JUN · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	**Option 1:** bonus **Option 2:** job enrichment **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By offering carpenters in its factories the opportunity of earning a bonus encourages them to make more tables and chairs • **Option 2** – By *IKEA* providing job enrichment opportunities such as training its present employees, so they are able to work in the packing department **AO3** • **Option 1** – Employees are more likely to remain with *IKEA* than find another job as a bonus will add to their salary • **Option 2** – Employees will gain new skills which will make them feel valued by *IKEA*, helping them to gain promotion, such as becoming an Assistant Manager **AO4** • **Option 1** – However, employees may not be interested in a bonus as it requires more work and effort • **Option 2** – However, not all employees are motivated by non-financial methods of motivation such as job enrichment, they may prefer to have additional remunerations	**(9)**

Type MS · Financial and non-financial methods of motivation

Answer 29 of 31 · Question 3 part e · 9 marks

2023 JUN · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Financial and non-financial methods of motivation

Answer 29 of 31 · Question 3 part e · 9 marks

2023 JUN · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Calculate to 2 decimal places the percentage decrease in inventories from 2019 to 2020. **Answer**	Additional guidance	Mark

Type MS · Financial and non-financial methods of motivation

Answer 30 of 31 · Question 2 part f · 9 marks

2025 JUN · Paper 02 · extract 1 of 6 · find part f in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a reason why *Starbucks* should have good communication with its customers. • By communicating with customers, they are likely to return to buy more sandwiches from *Starbucks* **(1)** • Having good communication with customers encourages them to return to the shop so that a customer orders coffee and cake is understood and accurately delivered **(1)** **NB** Do not accept a reason that is not in the context of *Starbucks*. Accept any appropriate response.	**(1)**

Q. No.	State **one** way *Starbucks* could follow health and safety legislation. **Answer**	**Mark**
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid way *Starbucks* could follow health and safety legislation in the context of the business • Employees must ensure that when they are serving customers with biscuits they are handled with tongs or gloved hands **(1)** • Employees need to following the rules and regulations when using the coffee machines to avoid hot water and steam that could burn their hands **(1)** **NB** Do not accept a way that is not in the context of *Starbucks*. Accept any appropriate response.	**(1)**

Type MS · Financial and non-financial methods of motivation

Answer 30 of 31 · Question 2 part f · 9 marks

2025 JUN · Paper 02 · extract 2 of 6 · find part f in this mark scheme extract

Q. No.	Explain **one** reason why many manufacturing businesses use just-in-time (JIT). **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a reason why many manufacturing business use just-in-time (JIT), plus 2 further marks for explaining the reason, for a maximum of 3 marks. • JIT reduces the amount of inventory held by a business **(1)** reducing the costs associated with over ordering of inventory **(1)** meaning overall costs for a business may be reduced **(1)** • JIT reduces the amount of out-of-date or damaged stock **(1)** reducing the amount of storage space required for inventory **(1)** and this can then be used for other business activities **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** reason why it is important that businesses pay their suppliers on time. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of one reason why it is important for a business of paying its suppliers on time, plus 2 further marks for explaining the reason for a maximum of 3 marks. • Paying suppliers on time establishes a good relationship with suppliers **(1)** and if a business needs goods urgently from them **(1)** they would be more likely to help them knowing they would be paid on time **(1)** • Paying on time, gives the business better negotiating powers with the supplier **(1)** so that if the supplier trusts them they may negotiate better prices **(1)** thus keeping its costs down **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 30 of 31 · Question 2 part f · 9 marks

2025 JUN · Paper 02 · extract 3 of 6 · find part f in this mark scheme extract

Q. No.	Explain **one** effect on a business if interest rates are decreased. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of an effect on a business if the interest rates are decreased, plus 2 further marks for explaining the importance, for a maximum of 3 marks. • A decrease in interest rates reduces the cost of borrowing for a business **(1)** making it cheaper to finance new projects/expansion **(1)** improving the profitability of the business **(1)** • This could increase sales income for a business **(1)** because consumers may have more money to spend **(1)** on additional items they might want, which the business sells **(1)** **NB** No marks are awarded for a definition. Answers that list three effects with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Financial and non-financial methods of motivation

Answer 30 of 31 · Question 2 part f · 9 marks

2025 JUN · Paper 02 · extract 4 of 6 · find part f in this mark scheme extract

Q. No.	**Option 1:** financial methods **Option 2:** non-financial methods. Justify which **one** of these two methods *Starbucks* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – By offering financial methods to its employees, such as bonus payments if the coffee shop increases its sales • **Option 2** – If *Starbucks* could offer its employee's non-financial benefits such as job enrichment within the coffee shop, so employees can gain more skills and knowledge of the business **AO3** • **Option 1** – Employees recognise that they are being financially rewarded for working hard and enjoy the extra income and this may encourage them to stay with the business • **Option 2** – Employees will gain new skills and knowledge and feel valued by *Starbucks,* which may help them gain promotion such as becoming an assistant manager and they will feel more loyal to Starbucks **AO4** • **Option 1** – However, not all employees are interested in bonus payments, as many employees are more interested in a good work-life balance and more concerned with non-financial incentives • **Option 2** – However, not all employees are motivated by non-financial methods of motivation, they may prefer having additional funds added to their pay slip so that they can pay their bills	**(9)**

Type MS · Financial and non-financial methods of motivation

Answer 30 of 31 · Question 2 part f · 9 marks

2025 JUN · Paper 02 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Financial and non-financial methods of motivation

Answer 30 of 31 · Question 2 part f · 9 marks

2025 JUN · Paper 02 · extract 6 of 6 · find part f in this mark scheme extract

Q. No.	Define the term **crowdfunding**. **Answer**	Mark

Type MS · Financial and non-financial methods of motivation

Answer 31 of 31 · Question 4 part c · 12 marks

2023 JUN · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

4 (a)	**AO2 - 2 marks** 80 282 – 12 692 = 67 590 **(1)** 67 590/330 606 x 100 = 20.44 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the importance of place to *Irsi Chocolatier*. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • They are located in a busy area with other competitors nearby and want to make sure customers are drawn to them over the other chocolate shops in the area so will not want to move the location of the physical shop • As a small business with only 3 employees, it may want to consider its online place as well as its physical chocolate shop to remain competitive **AO3** • With the business having started in 1989 it is important to have the shop in the same location so locals and tourists come back year after year if they have enjoyed the chocolates they have bought from the shop • With it offering a local delivery service and the market changing *Irsi Chocolatier* may put some importance on improving their online presence to allow customers to buy from the website as well as find information about its products	**(6)**

Type MS · Financial and non-financial methods of motivation

Answer 31 of 31 · Question 4 part c · 12 marks

2023 JUN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Financial and non-financial methods of motivation

Answer 31 of 31 · Question 4 part c · 12 marks

2023 JUN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Evaluate the impact of *Irsi Chocolatier* using financial methods of motivation on its employees. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • A bonus can be given to employees • A promotion could be awarded to an employee **AO2** • This can motivate the employees is they meet their targets of making and selling a certain amount of chocolate each month • *Irsi Chocolatier* could promote the hardest working employee in the chocolate shop **AO3** • This may push employees to work harder and produce/sell more products in order to meet their targets therefore increasing the revenue for *Irsi Chocolatier* • This will motivate the employee as they will be given additional responsibilities with a potential pay increase making them more loyal to the business as they are being promoted for their work **AO4** • However, if the same employee keeps getting the bonus each month, then this may demotivate the rest of the employees if they feel they do not have a chance at getting the bonus leading to a decrease in productivity • However, this would only be for one employee as the business only currently has three so the other two may end up feeling demotivated and unrecognised possibly leading to an increase in staff turnover and creating a recruitment issue for *Irsi Chocolatier*	**(12)**

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Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

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Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)